Extra exercises of Lecture 4

EX 1
Some economists forecast lower inflation next year. We expect bond prices to
a) increase
b) decrease
c) stay unchanged
d) we can't say for sure

EX 2
If a government reduces the inheritance tax, which increases private wealth but also increases the government debt, then interest rates will necessarily:
a) decrease
b) increase
c) not change
d) cannot be determined

EX 3
Assume that the economy has experienced a decrease in its aggregate savings due to a period of recession. All else equal, what happens to interest rates?
a) they increase
b) they should remain unchanged
c) the effect could go either way
d) they should decrease

EX 4
Which of the following aspects about a security will typically increase investor demand for the security?
I. high liquidity
II. high expected inflation
III. high risk
IV. high expected return
a) I and IV
b) II, III and IV
c) I, II, III and IV
d) I, II and IV